

home and pay taxes anyway. Doing it now frees up your equity that much sooner. And by moving to a low-cost rental, your housing costs will plummet.

After you sell you'll need to muster up some discipline to keep from squandering your newly liquid stash. You'll also need discipline to save the money you would otherwise spend on house payments. This chapter's last two rules help you maintain that discipline. But if you lack the discipline to manage your finances—if you're tempted to spend every cent you have—you're better off owning a home. That way, every time you make a mortgage payment you're forced to save.

In summary, if you rent you should look for a cheaper rental. If you own, you should consider pulling your equity out now rather than later. Either way, you'll be without the "fuzzy blanket" of home ownership. For most of us, that fuzzy blanket is important. What to do?

My suggestion is to buy a vacation home, but a vacation home with two important characteristics. First, your vacation home should cost no more than \$40,000 or so. Second, your vacation home should be a place you'd like to live in once you retire.

Why do I like vacation homes? First, a vacation home serves just as well as the all-important fuzzy blanket. But it's a fuzzy blanket that costs only \$40,000, far less than what you'd pay for a first home. Forty thousand dollars won't buy a decent back porch on Manhattan's East Side; for that matter, it won't buy a vacation home on Long Island or the Jersey shore, either. You'll have to buy quite a ways out—Maine, perhaps, or New Hampshire. So your vacation home will be too far away to use on short weekends. Still, you'll have a home of your own.

Second, by buying a vacation home you'll save money on vacations. Remember, you'll be retiring in a few years. After you retire you'll have plenty of time to see the world. For now, save vacation dollars by spending part of each summer in your second home. You'll relax, enjoy fixing up the place, and dream about living there full-time.